was worth issuing a press statement on, especially given the fact that the bank was going to continue issuing the coins.

While all steps were taken by the bank to ensure adequacy of note paper, the situation in this regard became grave in 1942–43. However, by the end of 1943 it began to improve. A new denomination of two rupees note was introduced and a ten rupees note of a new design was introduced in October 1944 to prevent forgery. As regards the official policy concerning the silver rupee, the main thrust was to conserve supplies of silver and to control the tendency of silver coins to disappear whenever silver prices rose to the point when melting became profitable. As an interim measure, in June 1940, the government made it an offence to acquire coins in excess of personal or business requirements and the bank set limits up to which the rupee coin could be ordinarily issued. To tide over the immediate crisis, about one crore of standard silver coins were minted since there had been a delay in the arrival from London of one rupee notes for ₹25 crores that had been printed as far back as 1935.[2]

The bank played an important role in managing the government's borrowing. The strategy of bond sales was varied from time to time. The matters to be decided included choice between the issue of a new security and a reissue of an existing loan, maturity, issue price, and decisions whether the loan should be kept open for a fixed period or be on tap. As noted before, the war was broadly speaking financed with a coupon rate of 3 percent. In 1943 there were suggestions that in view of the growing dangers of inflation, the interest rate should be raised to make government bonds more attractive. Deshmukh, who was then the Deputy Governor, opposed this on the ground that this would be embarrassing for those who had so far subscribed to government loans, especially the institutional investors. He also cautioned that such an increase could fail to achieve its immediate objective thereby defeating its own purpose. 'As each increase in rates lowers the market price of existing government loans by making them correspondingly less attractive, there is a risk of the market anticipating that this process will continue as the war goes on.'[3]

Deshmukh has been criticized for refusing to raise the interest rate. It has been argued that since the government did not offer a higher rate, funds were diverted to more attractive options. There was a great rush for investments in new private capital issues: Deshmukh's aversion to raising